MFE 230GB · CURRENCY MARKETS · FINAL PROJECT

Prediction Markets and Currency Strategies

Do Kalshi and Polymarket carry information that helps trade currencies, and where does that information sit?

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ECONOMIC FRAMEWORK

Three course mechanisms set the sign of every trade

1 STRATEGY A

Monetary vs fiscal dominance

MONETARY DOMINANCE
Bigger deficit → higher rates → capital in → **currency ↑**

FISCAL DOMINANCE
Bigger deficit → risk premium → capital out → **currency ↓**

Hawkish Fed news lifts the dollar in both regimes.

2 STRATEGY B

Carry and the failure of UIP

$$rx \approx (i^* - i) + \Delta s$$

i^*: rate on currency held · i: USD rate · Δs: its appreciation

UIP SAYS
$E[\Delta s] = i - i^*$, so carry earns **0**

Data: high-rate currencies fall less, so carry earns a premium for crash risk.

3 STRATEGY B · RESULTS

Terms of trade

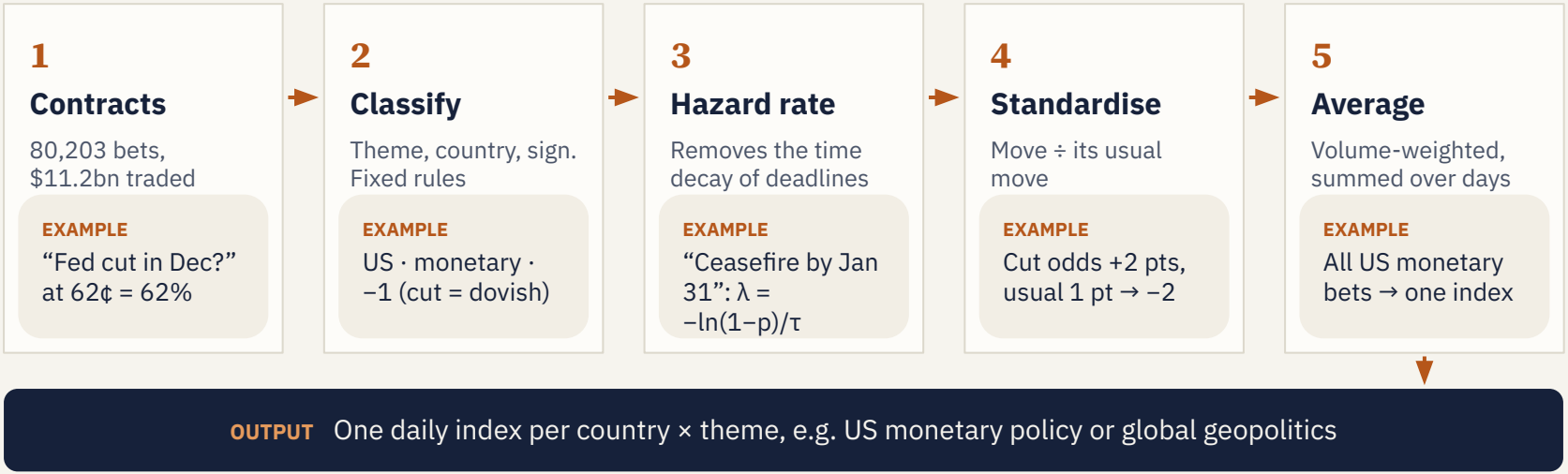
EXPORTERS · BRL, MXN, COP
Oil ↑ → more dollars earned → **currency ↑**

IMPORTER · KRW
Oil ↑ → bigger energy bill → **currency ↓**

Middle East escalation lifts oil, so a book long BRL, MXN, COP and short KRW gains.

DATA PIPELINE

From 80,000 contracts to daily theme indices



TIMING · NO LOOK-AHEAD

Snapshot: last trade before 16:00 London. Trade: NY close, 6h later.

THEMES

Monetary, inflation, fiscal, tariffs, geopolitics

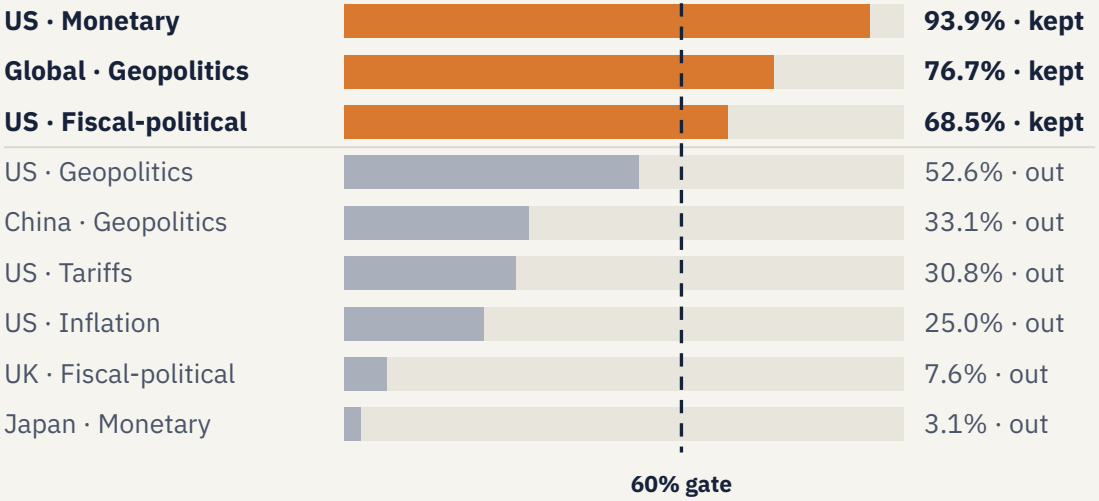
SAMPLE

In-sample 2024–25, out-of-sample 2026

COVERAGE GATE

Prediction markets speak about the US and the world

Share of weekdays with ≥ $50k weekly volume, 2024–25. Orange = passes the gate.



3

indices pass the gate

RULE · SET BEFORE ANY BACKTEST

≥ $50k weekly volume
on ≥ 60% of weekdays

Any cutoff from 53% to 68% keeps the same 3.

WHAT IT MEANS

Strategy A trades the dollar.
Strategy B uses global geopolitics.

IS THE INFORMATION EARLY?

The dollar reacts to Fed news as fast as the odds

Regression	Horizon	Monetary t	Fiscal t
Same day	0	4.02	0.33
Predictive	1 day	0.75	0.93
Predictive	5 days	1.02	1.92
Predictive	20 days	−0.46	3.35

Pooled panel of G10 pairs, pair effects, Driscoll–Kraay t-statistics. The 20-day fiscal coefficient is tested in the Strategy A robustness slide.

Monetary news moves both markets on the same day and predicts nothing afterwards: the efficient-markets outcome for liquid G10 FX.

WEEKEND GAP · PRE-REGISTERED

FX closes Friday 17:00 New York; prediction markets keep trading. On 1,278 pair-weekends, weekend moves do not predict the Monday gap.

Largest |t| = 1.3

HOURLY LEAD-LAG · EXPLORATORY

Around the top 1% hourly moves, FX moves first or together; monetary odds follow in the same and next hour.

STRATEGY A · DEVELOPED MARKETS

Do US policy odds predict the dollar against the G10?

Two channels

MONETARY · FOMC DECISION MARKETS

Hawkish shift → long USD

In every regime.

FISCAL · ELECTIONS AND SHUTDOWNS

Expansion → long USD

Short USD under fiscal dominance (yield–FX corr. < 0: 12 days).

Signs from theory, nothing estimated. All variants declared before any backtest.

$$v_t = \underbrace{\sum_{k\geq 0} \mathbb{E}_t[i_{t+k} - i^*_{t+k}]}_{\text{expected rate differentials}} - \underbrace{\sum_{k\geq 0} \mathbb{E}_t[\rho_{t+k}]}_{\text{risk premia}} + \underbrace{\bar{v}}_{\text{long-run anchor}}$$

Monetary news moves the first term; fiscal news the first or second, by regime.

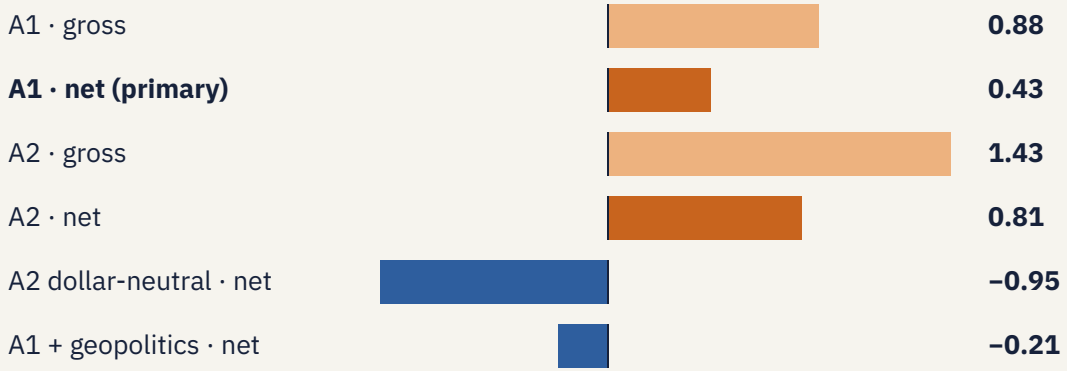
Trading rule (A1)

Step	Rule
Universe	9 G10 currencies vs USD, inverse-variance basket
Signal	Daily index change (volume-weighted contracts), smoothed over 5 days, scaled by its own volatility
Execution	Signal 16:00 London, traded at the NY close
Sizing	Position ∝ monetary + fiscal signal; 10% vol target; caps 3× gross, 30%/pair
Costs	Half the 1M forward bid–ask, 20-day median

STRATEGY A · RESULTS 2024–26

A Sharpe of 0.88 before costs, 0.43 after

Annualised Sharpe ratio. Dark line = zero. Scale: −1.0 to +1.5.



Read top to bottom: costs halve the edge (A1); country cells help only through the dollar (A2); the cross-country part alone loses (dollar-neutral). **Prediction markets inform the dollar, not G10 differences.**

COSTS

Turnover 133× a year, costs 4.7%. Earns about 7 bp, pays 3.5 bp per unit traded.

SIGNIFICANCE

A1 net t = 0.72. Only A2 gross has a CI excluding zero (0.37 to 2.25)

OUT OF SAMPLE 2026

A1 net 0.28 (gross 0.85), A2 net 1.08. The monetary leg drives A1: long USD into the September hike, +5.5%.

STRATEGY A · ROBUSTNESS

The signal's timing is real; our best Sharpe is not

Check	Result
Date-shuffle placebo	A1 beats 92% of draws, A2 99%
Leave one event out	A1 Sharpe stays 0.23 to 0.63
Static vs timing	Timing carries the P&L: 0.81 vs 0.32 gross
Dollar momentum *	Momentum Sharpe −1.05 (1d), −0.54 (5d)
Spec rule: |t| > 3 to trade	Selects nothing; largest t = 1.68
Weekly rebalancing *	Net 0.75, turnover 63
Costs at 0.5× *	A1 0.65, A2 1.12

* Added after seeing the results and labelled as such.

NOT A RESULT

2.46

2026 Sharpe of a 20-day rule whose horizon we chose after seeing the data.

Averaged over its 20 possible start dates: **0.22**. Non-overlapping t = 0.72.

Our published start date ranked 1st of 20; only 12 of the 20 are positive in 2026.

Lesson: test every rebalancing phase.

STRATEGY B · MECHANISM 1 OF 2 · THE CARRY

EM carry earns a premium for crash risk

1

Sort on carry, monthly

Rank the six currencies on the 1-month forward or NDF premium: the interest gap.

2

Long the top, short the bottom

Long the top tercile and short the bottom (2 vs 2), with inverse-vol weights and a 10% vol target.

3

Collect the premium

UIP fails: high-yielders fall by less than the interest gap, so carry earns a premium.

UNIVERSE · IRR FLOATING, CODES 12–13

BRL · MXN · COP · CLP · ZAR · KRW

Pegs and bands excluded: their risk is devaluation, hidden by low volatility.

KRW closes before the 16:00 London signal, so it trades with a one-day lag.

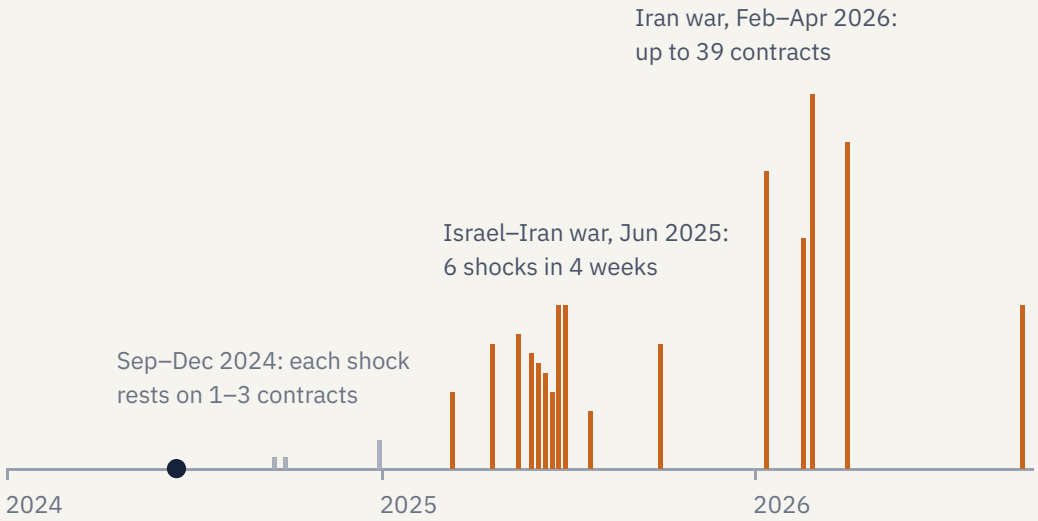
THE CATCH · BASE CARRY OVER 17 YEARS OF HISTORY

0.33	−43.7%	2.7
Sharpe ratio	Maximum drawdown	Excess kurtosis

Losses come in bursts during global risk-off. Geopolitical shocks are one trigger, and prediction markets price them directly.

Prediction markets decide when to cut the carry

Contracts behind each confirmed shock, global geopolitics index, 2024–26



Jun 2024: exposure cut by the monthly escalation measure (one Taiwan contract)

HOW EXPOSURE IS SET

Index: signed, standardised daily changes of about 13 liquid geopolitics contracts a day.

Escalation, monthly: expanding z-score of an EWMA of daily changes (half-life 20 days); high values cut exposure.

Shock, daily: a move above 2 sd that persists cuts exposure to 25%, restored over 10 days.

Result: average exposure 0.81, reduced on 211 of 714 days.

STRATEGY B · RESULTS 2024–26, NET OF COSTS

Carry earns 1.25; the overlay's edge is one month

PM-TIMED MINUS BASE CARRY, CUMULATIVE

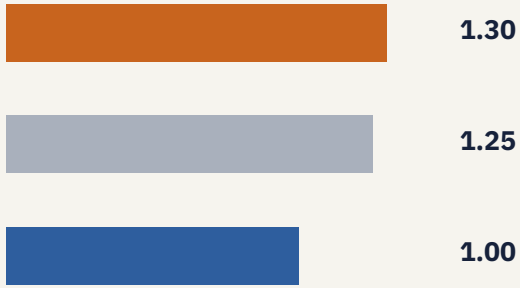
June 2024 alone	**+6.3 pts**
All other months	**–10.4 pts**
Total	**–4.1 pts**

The June 2024 cut was driven by one contract: **"Will China invade Taiwan in 2024?"**

BASE CARRY

Sharpe 1.25 (90% CI 0.33 to 2.31), 2.03 out of sample in 2026; costs 0.4% a year. PM timing cuts max drawdown to –8.0% from –14.0%, but only to –13.1% without Taiwan.

Net Sharpe 2024–26, scale 0 to 1.5

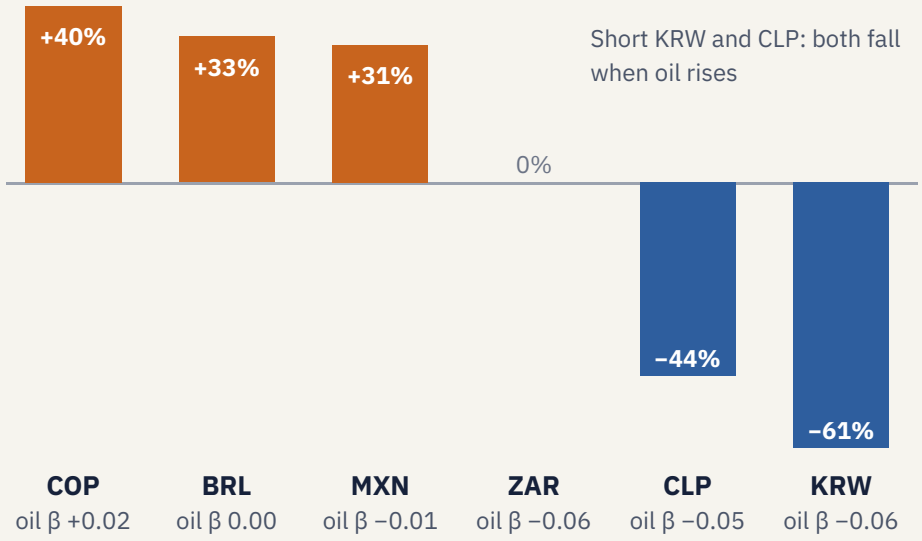


Without that one contract, PM timing (1.00) does worse than the plain carry (1.25).

STRATEGY B · WHY THE OVERLAY FAILS

This carry book was long oil, and never crashed

Average position, 2024–26, % of capital · oil β = weekly beta to Brent



LONG OIL

Brent beta 0.07 (t = 4.5), equity beta 0: the oil exposure comes from the two short legs.

ESCALATION HELPED

Iran war, Feb–Apr 2026: base carry +8.0%, PM-timed +5.9%. Cutting on escalation cut a winner.

NO CRASH TO INSURE

Yen unwind, Aug 2024: −1.3%. The −43.7% drawdown is in the long history, not in our window.

RISK ANALYSIS

When the strategies lose money

Stress episode	A1	A2	Carry	PM-timed
Yen carry unwind, Aug 2024	+2.4%	+2.4%	−1.3%	−1.3%
Liberation Day tariffs, Apr 2025	+1.1%	+0.4%	−2.8%	−2.8%
Israel–Iran war, Jun 2025	+0.3%	+0.4%	−0.2%	−0.6%
Iran war, Feb–Apr 2026	−7.5%	+2.9%	+8.0%	+5.9%

Worst drawdowns: A1 −14.1%, Mar–Jul 2026, still open and overlapping the Iran war. Base carry −14.0%, Apr–Sep 2024.

FACTOR EXPOSURE

A1 is neutral; A2 is hedge-like (MSCI beta −0.24, t = −2.0). B is a commodity carry: Brent t = 4.5.

DOWNSIDE BETA

About 0 for A1 and B; A2 −0.81. In the 21 worst equity weeks, the carry earns +12 bp on average.

OTHERS

KRW is 29% of the carry's exposure, always short. A and B are distinct: correlation −0.04.

INFERENCE AND RESEARCH PROTOCOL

How much we can trust these numbers

Pre-registration

31 dated decisions; every rule logged before its backtest, post hoc additions labelled.

Out-of-sample

Anything estimated uses 2024–25 only; January to September 2026 is reported separately.

Uncertainty

Block-bootstrap 90% CIs. With under three years, a Sharpe below about 1.2 is not significant.

Placebos

Date shuffles: A1 beats 92%, A2 99%, B 93%. Random contracts give B 1.10: its Sharpe is mostly the carry.

Costs

Half the forward bid–ask, tested from 0.5× to 3×. PM-timed B at 3× costs still has a Sharpe of 1.00.

Report

We report every variant we declared, good and bad, so each result should be read with that caution.

SYNTHESIS

What we learned

Information

Prediction market only has enough liquidity for US policy and global geopolitics, so the FX content is about the dollar, not other G10 countries.

Timing

Prediction market has strong same-day co-movement with FX (t = 4.0), no next-day prediction; FX moves first intraday.

Value

Prediction markets are useful for tracking gradual changes in macroeconomic expectations and monitoring event risk.

Thank you. Questions?

Replication package

- One command rebuilds every table and figure
- Pinned environment; data access documented per source
- Decision log: every rule, dated, before its backtest
- AI log: prompts and generated code
- Interactive HTML page

Natural extensions

- Kalshi vs Polymarket disagreement on the same FOMC meeting
- Non-US cells as coverage grows (UK fiscal at 55% in 2026)
- A bond leg for fiscal news
- OIS and fed funds futures as a benchmark for Fed news
- Regime detection on fiscal news days only

THE ANSWER UP FRONT

What we asked, and what we found

TIMING

Prediction markets move with FX, not before it.

Same day, Fed news and the dollar move together (t = 4.0). Next day: nothing (t < 1).

CONTENT

Their usable FX information is about the dollar.

Only US monetary, US fiscal and global geopolitics are liquid enough to build signals on.

CARRY

EM carry earns a premium; the overlay adds nothing robust.

Base carry Sharpe 1.25 net. The overlay's gain comes from one contract in one month.

Sample Jan 2024 to Sep 24, 2026 · in-sample 2024–25 · out-of-sample 2026 · every rule logged before its backtest